PENOBSCOT FINANCIAL ADVISORS

Investment Policy Statement — Maria Lopez

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1. Purpose

The Investment Policy Statement ("IPS") is the cornerstone of the investment management process and it is the foundation upon which our work together will be based. Investment decisions will be made in concert with the guidelines that **Penobscot Financial Advisors** (the "Advisor" or "PFA") and **Maria Lopez** (the "Client") agree upon and outline in this document.

The Investment Policy Statement establishes the criteria for matching the Client's objectives to an appropriate investment plan; provides a frame of reference to keep the Advisor and Client focused on investment objectives, especially during periods of market volatility; and establishes the criteria against which progress will be measured.

2. Duties and Responsibilities

a. The Advisor

Penobscot Financial Advisors, as a SEC Registered Investment Adviser, will act as a fiduciary to the Client and manage the Portfolio in a manner consistent with this IPS. PFA's investment committee convenes bi-weekly and is supported by automated monitoring systems for portfolio drift and pre-defined limit breaches.

The Advisor is responsible for: **recommending an appropriate asset allocation**; evaluation and selection of securities within each asset class; implementation of the strategy through trading and rebalancing; and ongoing monitoring of portfolio performance and drift.

b. The Client

The Client is responsible for reporting any material changes in financial circumstances or goals to the Advisor in a timely manner. Any necessary revisions to this IPS will be made in response to such changes and reviewed with the Client.

3. Client Profile

a. The Portfolio

This IPS governs the current Management Agreement(s) executed between the Client and Advisor. The accounts listed below comprise the assets to be managed in accordance with this IPS.

Account	Account Type	Approximate Value
Maria – Fidelity Traditional IRA	Tax-Deferred	$620,000
Maria – Fidelity ROTH IRA	Tax-Free	$380,000
Maria – Individual Brokerage	Taxable	$750,000
Maria – 401(k)	Tax-Deferred	$480,000
Maria – Revocable Living Trust	Taxable/Trust	$370,000
Total		**$2,600,000**

b. Investment Objectives

A diligent investment process is used to match your objectives with an appropriate investment strategy. The Client desires to obtain the following stated investment objectives:

- Capital Preservation
- Income
- Growth and Income

- ■ **Growth**
- ■ Gifting / Legacy Goals

c. Risk Tolerance

An understanding of your risk tolerance helps define an investment strategy that you will feel confident maintaining through various market conditions. Collectively, you and the Advisor have concluded that your risk tolerance falls into the category noted below.

- ■ Conservative
- ■ Moderately Conservative
- ■ Moderate
- ■ Moderately Aggressive
- ■ **Aggressive**

d. Time Horizon

In determining your risk tolerance, the Advisor assessed the time horizon for the Portfolio. The Advisor has discussed the investment objectives of this portfolio with you, and together you have determined the investment horizon falls into the range noted below.

- ■ 0 – 1 Year
- ■ 1 – 5 Years
- ■ **5 – 10 Years**
- ■ 10 – 20 Years
- ■ 20+ Years

e. Liquidity Needs

The Advisor has determined that **Maria anticipates transitioning to early retirement within approximately 5–7 years**, at which point portfolio distributions are expected to begin. A moderate cash reserve will be maintained to support this timeline. No immediate withdrawal schedule is anticipated at this time.

4. Risk

Adequate holdings will be utilized to limit security-specific risks. Market exposures will be monitored routinely to limit geopolitical, sector, or industry-specific risks. The Portfolio will be consistently maintained within predetermined limits on drift from an optimized portfolio. **Risk and performance will be considered at the aggregate portfolio level.**

5. Return

Given the risk tolerance noted above, the Advisor will seek the best possible returns at an appropriate level of risk. **The portfolio targets an annualized net return of 9–11% over a full market cycle**, consistent with an Aggressive equity-tilted allocation.

6. Asset Allocation

Prudent investing relies on a sound asset allocation strategy. The following Strategic Asset Allocation is recommended for Maria's Portfolio:

Overall Target Asset Allocation: Aggressive

Asset Class	Target Allocation	Allowable Range
Equity	85.0%	75% – 95%
Fixed Income	8.0%	5% – 15%
Alternatives	5.0%	0% – 10%
Cash & Equivalents	2.0%	0% – 5%

The target allocation indicates how we plan to allocate assets as of the date this report was signed. Changes to investment objectives, risk tolerance, time horizon, or cash needs should be communicated to the Advisor so this allocation can be re-evaluated.

7. Investment Philosophy

a. Overview

Consistent with **Modern Portfolio Theory**, PFA seeks to maximize return for a given level of risk corresponding to the Client's risk tolerance. Using an optimized combination of non-correlated assets, we strive to attain the highest possible **Sharpe Ratio** for the Portfolio.

b. Sleeve Approach

Optimal return at a target risk level is achieved through a combination of **strategic and tactical asset allocation**. Strategic target weights are assigned to broad asset class sleeves. Tactical allocations may overweight asset classes, regions, or sectors presenting a greater value opportunity.

c. Investment Selection Criteria

When selecting funds and ETFs, preference is given to instruments with **strong total return rankings, low expense ratios, minimum asset size of $100M, and Sharpe ratios above their peer means**. For individual equities, a bottom-up approach is used comparing fundamentals including **ROE, Earnings Yield, FCF/EV, Current Ratio, and Debt Ratio**.

d. Taxes

Tax efficiency will be considered for all taxable account holdings. **Tax-loss-harvesting** will be employed where practical. **Long-term capital gains and qualified dividends** are the preferred rates at which income will be realized. Texas residency eliminates state income tax considerations.

8. Performance Evaluation and Reporting

Portfolio performance evaluation is available through quarterly reports and ongoing meetings. Our evaluations will measure performance against the following benchmarks:

Asset Class	Benchmark
Fixed Income	Bloomberg U.S. Aggregate Bond Index
Equities	MSCI ACWI Index
Alternatives	50% MSCI World REITs / 50% Bloomberg Commodity Index

9. Rebalancing

The Portfolio will be rebalanced on an **annual basis**, although more or less frequent rebalancing may take place at the Advisor's discretion based on market conditions or significant portfolio drift.

10. Investment Policy Review

To assure continued relevance of the guidelines and objectives established in this statement, the Client will review this Investment Policy Statement **at least annually**. This IPS supersedes all prior written IPSs and understandings with respect hereto.

11. Advisor Notes

Concentrated Stock Position:
Maria holds approximately **$120,000 in employer stock (NovaTech Industries)**. This position will be treated as a Domestic Large Cap equivalent in the allocation model. Diversification will be pursued opportunistically in light of her tax situation.

Early Retirement Timeline:
Maria anticipates retiring within **5–7 years**. The portfolio is structured to support an aggressive growth phase now, transitioning toward income generation as retirement approaches. Withdrawal planning should be revisited annually.

Upcoming Liquidity Events:
No significant near-term liquidity needs identified beyond routine planning. Portfolio is structured for high growth consistent with a 5–10 year horizon and Aggressive risk profile.

Trust Account:
Maria's Revocable Living Trust (**$370,000**) is managed in coordination with her estate plan and will be invested consistent with this IPS.

12. Signatures

I have reviewed and approve the discussion above. I agree with the Investment Policy Statement as outlined in this document. I further agree that this document shall provide the guidelines under which my investment portfolio will be managed.

___________________________	_________	___________________________	_________
Maria Lopez (Client)	Date	Advisor	Date

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Chief Compliance Officer